

*Attorney-Client Communication
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June 22, 2026

Assembly Member Christopher Ward
Chair of the Arts, Entertainment,
Sports, and Tourism Committee
Capitol Office, 1021 O Street, Suite 6350
Sacramento, CA 95814

Assembly Member Tom Lackey
Vice Chair of the Arts, Entertainment,
Sports, and Tourism Committee
Capitol Office, 1021 O Street, Suite 5340
Sacramento, CA 95814

Senator Angelique Ashby
Senate Appropriations Committee
California State Capitol, Room 412
Sacramento, CA 95814

RE: Letter in Opposition to California SB 1050

Dear Chair Ward, Vice Chair Lackey, and Senator Ashby:

We respectfully oppose SB 1050 and we offer this letter to express our non-exhaustive list of concerns with the proposed legislation.¹ We and the companies we represent, many of whom do substantial business in California, strongly support transparency and responsible use of emerging technologies guided by reasonable laws and industry policies. However, as currently drafted, SB 1050 would mandate disclosures in all advertisements featuring “synthetic performers.” While we support the ethical use of emerging technologies and transparency where the absence of clear disclosure could negatively impact consumers, SB 1050 would create significant legal, economic, and operational concerns for businesses, advertisers, advertising agencies, content creators, and the broader media ecosystem. Accordingly, we ask you to decline to advance the bill as drafted out of the Assembly Committee on Arts, Entertainment, Sports, and Tourism (“Committee”).

I. SB 1050 does not contain a “materiality” standard to ensure consumers are protected from real, material risks.

We support SB 1050’s goal of ensuring that consumers are not misled by the use of synthetic performers in advertising. However, we respectfully request clarification of the term “prominently” in subdivision (b) and recommend that the bill include a “materiality” standard to the synthetic performer disclosure requirement.² As drafted, the disclosure obligation could be read to apply even where a synthetic performer is part of routine creative techniques (such as CGI, visual effects, or voice modulation) that consumers generally understand as artistic devices rather than representations material to a purchasing decision. Absent a materiality standard, the bill would sweep in uses of synthetic content that pose little or no risk of misleading consumers,

¹ California SB 1050 (2025-2026 Reg. Sess.), located [here](#) (hereinafter, “SB 1050”).

² SB 1050 § 17610(b).

causing disclosures to appear in contexts where they provide no consumer-protection value and potentially reducing their effectiveness in situations where they are truly warranted. To ensure the bill's disclosure requirement is appropriately scoped, the Committee should update subdivision (b) to apply only where the use of a synthetic performer is likely to deceive a reasonable consumer regarding a material claim or characteristic of the advertised goods or services. By focusing on situations with a real risk of consumer confusion, a materiality test reduces compliance burdens and overlabeling, preserves creative freedom, and would strengthen the bill's practical application.

II. SB 1050 contains no explicit provision prohibiting a private right of action.

As presently drafted, it is unclear whether SB 1050's enforcement provisions allow for a private right of action.³ SB 1050 should be updated to clarify that it does not create a private right of action under any law. Instead, enforcement should be vested with the Attorney General ("AG") alone, because such an enforcement structure would lead to stronger outcomes for California residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with the bill's new requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The possibility of a private right of action in SB 1050 would create a complex and flawed compliance system without tangible benefits for consumers. In addition, allowing private actions will flood California's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.⁴ Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on California's economy by creating the threat of steep and unforeseeable costs for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions do not effectively address consumer protection concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an

³ SB 1050 § 17610(f).

⁴ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).

expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.⁵

Beyond the staggering cost to California businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the possibility of a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the Committee to clarify that SB 1050 does not create a private right of action under any law and vests enforcement authority with the AG alone.

III. SB 1050 contains no cure-period to support compliance.

SB 1050 contains no right to cure provision. Adding a reasonable cure period would give businesses and other individuals a critical safeguard by allowing them to correct unintentional violations, such as a missed disclosure or misclassification of a synthetic performer, before facing enforcement actions. It's also important to define the AG enforcement process for notifying a "person" of a violation and giving them the opportunity to correct it, to ensure the issue can be properly resolved. This approach acknowledges the evolving nature of artificial intelligence tools and reduces the risk of disproportionate penalties for good-faith errors, especially in a fast-moving production environment. It would also promote compliance by encouraging timely corrections rather than immediate punishment, fostering a more practical and collaborative enforcement framework. We encourage the Committee to add a reasonable right to cure period of 90-days to allow persons to correct violations.

* * *

We respectfully ask the Committee not to advance SB 1050 as proposed and would welcome the opportunity to engage further and work with you to amend SB 1050 in ways that would benefit California businesses and consumers alike.

Thank you in advance for your consideration of this letter.

Sincerely,

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⁵ For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*



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CC: Members of the California Assembly Committee on Arts, Entertainment, Sports, and
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